

**UNITED STATES OF AMERICA
BEFORE THE FEDERAL MARITIME COMMISSION**

TCW, INC.

Claimant,

v.

EVERGREEN SHIPPING AGENCY (AMERICA)
CORPORATION & EVERGREEN LINE JOINT
SERVICE AGREEMENT

Respondents.

FMC Docket No. 1966(I)

**BRIEF *AMICUS CURIAE* OF THE
AMERICAN PYROTECHNICS ASSOCIATION
IN SUPPORT OF CLAIMANT**

The Commission’s Order of April 26, 2021 provided for supplemental briefing, and invited amicus briefs, on three issues relevant to its review of an Initial Decision in favor of Claimant TCW, Inc. in this docket. The Initial Decision found that Respondents violated 46 U.S.C. § 41102(c) by charging a “per diem” on unreturned containers and chassis (often referred to as a “detention” charge) for a period of time when the return location was closed, or ordered relief. These identified issues are (1) what effect, if any, the dismissal of a carrier’s agent would have on the Commission’s authority to adjudicate the claims against the carrier and provide relief, (2) whether the alleged acts or omissions occurred on a normal, customary, and continuous basis, and are unreasonable under the Commission’s interpretive rule on demurrage and detention; and (3) the relevance of TCW’s pass through of the per diem charges with a markup to the beneficial cargo owner “given the Commission’s decision in *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC 2019) and discussion of the direct purchaser rule and its corollaries.”

The American Pyrotechnics Association (APA) has moved pursuant to 46 C.F.R. § 502.73 for leave to file this *amicus* brief addressing these issues from the perspective of its members. Because nearly all backyard consumer fireworks come directly from China, and the vast majority of professional display fireworks are manufactured in China, the APA's members are heavily dependent – indeed almost exclusively dependent - on international ocean shipping, and many have been directly affected by practices of the type at issue in this docket. The APA is filing this brief conditionally within seven days of the filing of the Claimant's supplemental brief, as required by the Commission's Order and consistent with the rules.

The APA respectfully submits that, as a matter of both law and policy, the Commission should resolve this matter so that it not only provides an effective remedy in this case, but also provides a framework for the efficient resolution of demurrage and detention disputes between carriers and shippers in general. The Commission's solicitation of carrier and shipper views should assist in that task. The Commission's interpretive rule provides a start in recognizing that carrier demurrage and detention charges are intended to serve a specific purpose and are reasonable only when they in fact serve that purpose. *See* Interpretive Rule on Demurrage and Detention Under the Shipping Act ("D&D Rule"), 85 Fed. Reg. 29638 (May 18, 2020).

Unless the rule is applied effectively in individual cases, however, it will not achieve its promise. Instead, shippers will be disincentivized to use the Commission's processes, leaving unreasonable practices unaddressed and, ironically, creating the perception that a significant and ongoing problem does not in fact exist. Indeed, the suggestion that carrier demurrage and detention charges are not significant issues because "[t]o date, there have been very few formal complaints filed with the FMC" was recently made by the World Shipping Council ("WSC") in Congressional testimony. *See* Statement of World Shipping Council Before the House Committee on

Transportation and Subcommittee on Coast Guard and Maritime Transportation on Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain (“WSC Testimony”) at 9 (June 15, 2021)

The suggestion in the WSC testimony that this is an isolated or unimportant problem because few formal complaints have been filed against carriers mirrors Respondents’ argument that the conduct at issue in this case cannot be a violation of 46 USC § 41102(c) because it is not “normal, customary, and continuous,” as there is no evidence that the precise circumstances present here are prevalent or will reoccur. This argument itself illustrates the problem with asserting that carrier demurrage and detention abuses are not widespread simply because few complaints have been filed. Shippers faced with the burden of proving not only their own case, but also that the circumstances they complain of are present in other cases rather than being “isolated” or having occurred in “only one specific instance”, see Resp. Br at 3, face a powerful disincentive to challenge unreasonable conduct. The costs of pursuing claims can be substantial, as the already lengthy proceedings in this docket reflect. Those costs would be dramatically increased if, in addition to proving a violation of the Commission’s principles governing detention and demurrage in its own case, a shipper was required to prove that violations had also occurred in other cases, or that it had suffered prior injuries. Moreover, despite carriers’ assurances that shippers need not fear any retaliation if they file such complaints, APA can assure the Commission that this remains a very real concern. APA members have concerns that raising these issues even in this amicus brief, let alone in separate claims that may be brought in the future, could result in carriers declining to carry fireworks. It is not clear, for example, that APA’s members would have been comfortable filing this brief at all had the filing date fallen in the middle of their most important shipping season when carriers have the opportunity to decline the shipment outright,

rather than two days before the Fourth of July when the bulk of their highly time-sensitive shipments for this year hopefully have already been delivered to ports in the United States.

The Commission should thus not be under the misimpression that is facing some kind of “one off” situation here that is unworthy of its attention. To the contrary, unexplained and unwarranted carrier charges are an enormous problem for the APA’s members, and the Commission should assure that it is applying the statute and its rules to address it. The APA’s response to the specific issues the Commission has identified follows, in the order in which the issues are raised in the Respondents’ brief.

Issue 2: Meeting the Requirements of 46 U.S.C. § 41102(c)

Respondents argue that no matter how unreasonable the conduct may have been in this particular instance, it cannot be a violation of 46 U.S.C. § 41102(c) unless it is undertaken “on a normal, customary, and continuous basis,” and that since there has been no showing that Respondents have previously or regularly charged demurrage and detention under the precise circumstances here they cannot be held liable. Resp. Br. at 4. Respondents nonetheless go on to argue that the specific conduct was not unreasonable under the specific facts and circumstances presented. *Id.*, at 4-10. Respondents’ position is thus that, in order to bring a claim that a particular carrier is engaged in an unlawful practice, a shipper must show that the same carrier (or perhaps other carriers) have engaged in the same conduct at other times or respect to other shippers, information as to which may or may not be known to the shipper. As noted above, such a requirement would be a significant disincentive to meritorious claims, as to would require claimants to, in essence, prove not only the case at issue but other cases as well. This is particularly problematic in for APA members, most of which receive a few shipments a year at specific times (mostly prior to 4 July) but many of whom are individually affected in the same way. Expecting

what are in almost all cases small family businesses to prove specific conduct as to the others in the industry is impractical. Nor is there any basis to read the statute as setting out an “at least one free bite” rule requiring a claimant to show it has been harmed previously by the practice in question.

APA respectfully submits that such a requirement misunderstands the Commission’s precedent and the interpretive rule the Commission issued in an attempt to harmonize its precedents. *See* Final Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (December 17, 2018). In adopting that rule, the Commission stated that Section 41102(c) was not “intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo,” and sought to “return[] the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public.” *Id.* at 64,479. A major concern in adopting the rule was that if ordinary disputes with respect to cargo damage were treated as unreasonable practices, the Shipping Act would duplicate other statutory and common law maritime remedies, such those under the Carriage of Goods by Sea Act, thus frustrating Congressional intent. *See* Notice of Proposed Rulemaking, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 45371 (Sept. 7, 2018). The Commission hoped thereby to “stop individual instances better suited for resolution in another venue from being brought to the Commission.” 83 Fed. Reg. at 64479.’

None of these rationales for the interpretive rule applies in this case. The Commission’s significant and repeated attention to demurrage and detention issues demonstrates that it does not consider these issues to be beyond its regulatory purview, or more appropriately dealt with elsewhere, but rather to be an issue that can “negatively affect the broader shipping public” if not adequately addressed. And the carriers themselves have very recently assured Congress that the

“FMC’s active engagement and oversight demonstrate that the FMC is uniquely positioned and has ample authority to address [demurrage and detention] issues.” WSC Br. at 9. Closing the Commission’s doors to demurrage and detention claims simply because the claimant has not proven other like claims by the same respondent against the claimant or others would not be consistent with these assertions.

In any event, the Commission’s experience in considering demurrage and detention issues over a number of years has made clear that the concerns in this area are not isolated or one off occurrences. *See* D&D Final Rule, 85 Fed. Reg. at 29639 (noting that “shipper and trucker discontent with free time, demurrage, and detention practices was ‘palpable.’”) The Commission has thus laid out general principles based on its work in this area, including the rule that shippers “should not be penalized by demurrage and detention practices when circumstances are such that they cannot retrieve containers from, or return containers to, marine terminals because under those circumstances the charges cannot serve their incentive function.” *Id.*, at 29,638.

If carriers enter into arrangements that allow them to charge demurrage and detention even where the shipper has no ability to return the equipment due to delays or congestion, the Commission has found that to be, presumptively, an unreasonable practice. This is not a case of unintended conduct, as in the cargo damage cases that formed the basis of the rule interpreting Section 41102(c), where a carrier did not intend to mishandle the cargo or otherwise engage in the activity that underlay the complaint, and had no policy of doing so. Here, as the Initial Decision noted, at 22, the charges are imposed as part of the carrier’s usual business practice. Claimant notes in its brief, for example, at 4, that it receives many invoices monthly from Respondent charging per diems for the same scenarios. There is nothing mistaken, inadvertent or isolated

about carriers charging demurrage and detention in circumstances the Commission has found to be presumptively unreasonable, and such charges fall well within the scope of Section 41102(c).

Respondents' argument that this cannot be so unless a claimant can show that the specific factual circumstance has been presented with respect to a particular Respondent previously, for example imposing charges that accrue while a terminal is closed, would undermine the D&D interpretive rule and the Commission's precedent in this area. Respondents do not cite any examples, either in the Commission's precedent or otherwise, where a party has been allowed to evade a stated regulatory obligation on the basis that a complainant has not shown the respondent to have engaged in prior violations or a pattern of wrongdoing. To the contrary, the Commission has in the past ruled, without requiring that repeated violations be involved, that it is an unreasonable practice to charge demurrage unless delay is the shipper's fault. *See Midland Metals Corp. v. MOL*, 15 FMC 193 (1972) (reparations awarded with respect to a single incident where cargo was unavailable due to a labor action; also holding that demurrage rules must be construed in favor of the shipper); *Free Time and Demurrage Practices at New York*, 11 FMC 238 (1967) (requiring free time to be extended for a period equal to the time in which a carrier is unable to or refuses to tender cargo for delivery; burden is on the party assessing the charge to prove any claim that it is compensatory).

The Commission's efforts in this area would be of little purpose if carriers could ignore this principle, or others the Commission has developed after its study in this area, on the basis that a given claimant cannot show that the Respondent has violated it repeatedly. As noted above, there would be little incentive for shippers to bring claims to the Commission if in addition to showing a violation in their case they would have to, in essence, prove other cases as well, and such a result would be very unusual in the law.

Respondents also suggest that it would be improper for the Commission to interfere with contractual arrangements between shippers and carriers that may place the cost of delays on shippers regardless of fault. Again, the Commission has addressed this point and come to a contrary conclusion, noting that “there is reason to question whether demurrage and detention practices are normally the subject of arms-length negotiation between parties with remotely equal bargaining power.” *Id.*, at 29649. The fact that the Shipping Act leaves ordinary contract claims to the courts also does not bar the Commission from determining whether a charge that might be the subject of a contractual term might also be unreasonable under the Shipping Act. If the “alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.” *Cargo One v COSCO Containers*, 28 S.R.R. 1635, 1645 (FMC 1998)(“we find it inappropriate and contrary to the intent of the statute [to] bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms of” a breach of contract action). *Accord, Anchor Shipping v Alianca*, 30 SRR 991 (FMC 2006) (independent Shipping Act claims can be brought even if related breach of contract claims are arbitrable and have been arbitrated).

In this regard, the experiences of the APA’s members fully bear out the Commission’s conclusions. The APA’s members are facing enormous and increasing freight charges imposed by ocean carriers that are often unexplained, that do not seem to bear any relationship to the costs of providing service, and that they lack any power to address. Any suggestion that APA’s members – almost all of whom are small family businesses - have the power to bargain with carriers at arms’ length as to demurrage and detention rates or practices is belied by their own experience. They certainly do not have the power to decline to use ocean shipping and purchase their product elsewhere, as fireworks are almost exclusively manufactured overseas and largely in

China. The product value and use is also extremely time-sensitive given the huge percentage of sales tied to the Fourth of July holiday.

APA members have reported truly astonishing carrier rate increases this year. Rates have doubled and even tripled from last year's levels, with no end in sight. Moreover, unlike in past years, where general rate increases or surcharges were explained as justified by particular increased costs, these costs now appear suddenly and with no explanation. Base rates of \$10,000 have been increased by a "peak season surcharge" of \$3800, a "premium positioning" charge of \$2000, and a general rate increase of \$3200, more than doubling the rate, only to be followed by another so-called "general rate increase" of \$3000 added to all shipments through west coast from June 15th. Based on the information we have received from our members, we believe the total amount of these charges to be in the tens of millions of dollars.

APA members have had no choice but to pay these charges to attempt to keep the cargo on which their businesses depend moving and delivered by the July 4 holiday, which is key to APA's members ability to continue in business. The notion that they have any bargaining power to fairly allocate the burdens of cargo delays through negotiation of reasonable demurrage and detention charges is contrary to fact. It is also plain that the carriers are well able to absorb any delay costs that are not the fault of either the carrier or the shipper. Allocation of these costs is also warranted by the fact that in most if not all cases, as set out above, the carrier that is responsible for the transportation can be expected to be in a better position than the shipper to know what is causing the delay and to deal with it.

These carrier rate increases also raise another concern -- that of hiding charges that are actually demurrage and detention charges using other unexplained labels. The motivation for such activity is plain; if the Commission is giving particular scrutiny only to charges given the label

“demurrage and detention” carriers can avoid that scrutiny by putting those charges somewhere else or calling them something else. Evidence we have seen strongly indicates that carrier charges denominated as being for demurrage and detention are being recharacterized as general freight charges perhaps to avoid triggering FMC interest based on the Interpretive Rule. This conduct has also been accompanied by the receipt of misinformation as to the status of containers and reasons they are not moving.

Because APA members’ businesses are dependent on timely service, there is also no basis for any suggestion that they would not have the incentive to keep their cargo moving unless demurrage and detention charges were imposed. To the contrary, they have, particularly in recent months, been desperate to find out why their cargoes have been delayed, as the failure to obtain them in time for the Fourth can literally threaten their entire businesses.

In sum, the Commission can and should apply the principles it has developed with respect to what constitutes an unreasonable practice with respect to demurrage and detention without imposing unwarranted burdens on claimants that will provide a disincentive or roadblock to seeking redress for unreasonable charges. The principle applied in the case under review, that shippers should not bear such charges when they are not responsible for any delay, was correctly adopted in the D&D rule, and its application should not depend on whether a claimant can show that a particular respondent has imposed such unreasonable charges in the past. There are also sound policy reasons for imposing the costs of delays that are not the fault of the shipper on the carrier, who is both responsible for undertaking the transportation and, particularly in an environment of traffic congestion, likely to be in the best position to absorb the costs.

Issue 3: The Relevance of Pass-Throughs

The Commission has asked whether it is relevant that a claimant may have passed an unreasonable demurrage or detention charge onto another party, so that a respondent can defend against a claim on that basis. The answer is no.

Adopting such a rule, which is contrary to Commission precedent, would impose an unwarranted barrier to the pursuit of valid claims. Respondents would be permitted to make irrelevant inquiries into the relationships between shippers and their brokers and other agents for the purpose of escaping liability for their unlawful charges. The Commission and the courts have rightly refused to go down this rabbit hole, and there is no reason for the Commission to change course now. If a respondent has overcharged a party, it should be ordered to refund that overcharge to that party.

In asking for briefing on this issue, the Commission cited *In Re Vehicle Carrier Services*, 1 F.M.C.2d 440, 445 (2019), which noted that the Commission has long adopted the direct purchaser rule. That rule provides that a party directly overcharged by an unreasonable practice or other unlawful act is entitled to recover the overcharge whether or not it has passed it on to another party. Rejecting the argument that such a party should be denied standing because it has not suffered an injury, *Vehicle Carrier Services* noted that “the direct purchaser rule does not depend on the presence or absence of ‘actual injury’ to Complainants.” *Id.* at 452 (citing *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907, 908 (ALJ 1979)). It further noted that the “Commission’s direct purchaser rule is also consistent with the direct purchaser rule the Supreme Court developed in the antitrust context in *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977).” *Id.* See *Gov’t of Guam v. Sea-Land Service, Inc.*, 25 S.R.R. 842 (ALJ 1990)(also adopting the rule).

The Supreme Court adopted the rule in *Illinois Brick* as a corollary to its holding in *Hanover Shoe, Inc. v. United Shoe Mach. Corp.*, 392 U.S. 481, (1968), which rejected the argument that an antitrust defendant should be able to defend a claim on the ground that the plaintiff had effectively “passed on” any injury to its customers. *Id.* at 488 n.6. A contrary rule would not only embroil courts, and agencies, in collateral litigation as to whether and how overcharges have been passed on, but also allow Respondents to avoid liability for their overcharges if such an inquiry is not or cannot be made.

Nor would any valid policy be served by such a rule. If a party obtains a recovery for a overcharge it has passed on, it and the parties it has dealt with will be in the best position to unwind any such pass on transactions. Respondents have presented no evidence that the rule as adopted by the Commission and the courts had led to any problems or injustices. Allowing the defense would thus simply complicate the resolution of demurrage and detention claims, to no end other than improperly exempting respondents from liability for their overcharges.

Issue 1: The Proper Parties to Complaints

This issue is appears to arise from the fact that the per diem charges at issue in this case were imposed by an agent for Respondent Evergreen Line, an ocean carrier directly subject to the Commission’s jurisdiction, who then forwarded them to the carrier. Initial Decision at 15. Although the carrier is directly subject to the Commission’s jurisdiction, the agent is not.

APA’s interest in the issue, consistent with its position that the Commission should not establish unnecessary roadblocks to valid claims, is that the distinction between carriers and agents acting on their behalf not be construed to create such a roadblock. Respondents have stipulated “that a regulated common carrier cannot avoid responsibility for a Shipping Act violation simply because the offending act was performed by the carrier’s general agent acting within the scope of its agency,” Resp. Br. at 19, and thus it appears that any jurisdictional issue in this case will not

prevent the Claimant here from obtaining effective relief. *See* I.D. at __ (“Because by law a principal is responsible for conduct of its agent in the performance of the agent’s duties, if reparations were found to be warranted, Evergreen-Principal, not Evergreen-Agent, would bear the cost of the award.”). The Commission should confirm that this principle applies uniformly to demurrage and detention claims, and that a carrier assessing and receiving charges cannot defend a claim that they are unreasonable by asserting that they were actually exacted by and paid to an agent acting on its behalf.

The issue does bring up a practical problem that APA’s members have faced repeatedly -- the inability to obtain accurate and timely information from carriers and their agents as to why their shipments have been held up and who is responsible for the delay. This has led to extremely frustrating situations where our members have had containers buried for long periods of time, have not been able to access them so that they can get their goods, and have been given a runaround as to what is going on. The assessment of detention and demurrage charges for the delay adds further injury to the insult.

In one recent example, an APA member was working with a broker to free a number of containers that were unavailable for pickup for over two weeks at the crucial pre July 4th time period. The carrier maintained the containers were ready for pick up and charged demurrage and detention even though they were showing to the broker as unavailable and were buried on the lot. After additional inquiries the broker was advised that the containers had not been made available because the carrier was asserting that a prenotification requirement had not been met, although the shipper and broker had not previously been advised that prenotification was required. The broker was ultimately required to pay over \$30,000 in demurrage and detention charges to obtain the cargo, which our member then had to reimburse. The circumstances created the strong inference

that the carrier, facing delays not of the shipper's making, created the prenotification requirement as a pretext to assert shipper responsibility for the delay and justify the charges.

The Commission's demurrage and detention rule states that "ocean carriers, rather than marine terminal operators, generally control demurrage and detention practices." D&D Rule, 85 Fed. Reg. at 29,639. In addition to confirming that the party who establishes the practice and receives the revenue for the charges is a proper respondent in an action challenging the charges, the Commission should also recognize that the carrier will often have the most relevant information as to the cause of the delay. As the party undertaking responsibility for the transportation, the carrier also has the primary duty to assure timely delivery and availability of cargo. In this regard, we believe the Initial Decision was correct in noting that these cases are appropriate ones for shifting burden of production onto the respondent carrier once the claimant makes a prima facie case. I.D. at 14 (citing *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997)).

Given the disparities in knowledge and responsibilities between the parties, the requirements of a prima facie case should not be extensive, for example, a showing that the claimant was charged demurrage and detention charges and that it was not responsible for the delay. The respondent would then have the burden to present evidence sufficient to show that the charge was permissible under the Commission's standards, including those set forth in the D&D rule. The Commission should also make clear that it is an unreasonable practice to require the payment of a reasonably disputed demurrage and detention charge as a condition to release of cargo.

Conclusion

The Commission should affirm the Initial Decision and hold that imposing the demurrage and detention charges challenged in this docket was an unreasonable practice in violation of the Shipping Act. In doing so, the Commission should also clarify the standards for considering and deciding such claims as set forth herein so that the Commission can provide an efficient forum for deciding demurrage and detention claims and the policies of its demurrage and detention rule can be effectively implemented.

Respectfully submitted,

/s/ Barry Hartman

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Certificate of Service

I hereby certify that I have this 2d day of July, 2021 served a true and correct copy of the foregoing *amicus* brief upon all parties of record in this proceeding via electronic mail and have also provided a copy to the Secretary for filing on the Commission's first class mail.

/s/ John Longstreth
John Longstreth